CHAPTER NINE: CUSTOMER AND MARKETING

WHO IS MY CUSTOMER?

One of the most common mistakes made by new entrepreneurs is believing that *"everyone is my customer."* In reality, when everyone is your customer, no one really is. A successful business begins not with a product or a location, but with a clear understanding of who the customer is, what problem they have, and why they would choose you over others.

This chapter helps answer two fundamental questions:

1. Who exactly is my customer?
2. How do I identify, locate, and understand this customer in the real world?

1. Why Knowing Your Customer Matters

Your customer decides everything:

- What you sell
- How much you charge
- Where you locate your business
- How you advertise
- How you design your service experience

A business that deeply understands its customer can survive competition, pricing pressure, and even temporary failures. A business that does not will struggle despite good intentions or quality products.

Simply put: the customer is not an abstract idea; he is a real person with habits, constraints, preferences, and emotions.

2. Who Is My Customer?

A customer can be defined across several dimensions. Understanding all of them together gives a complete picture.

a) Demographic Profile

These are basic, measurable characteristics:

- Age
- Gender
- Income level
- Occupation
- Education
- Family status

For example:

- A working professional aged 25–40 has different needs from a retired person.
- A student with limited income behaves differently from a salaried executive.

Demographics help narrow down *who* can realistically buy from you.

b) Geographic Profile

Where does your customer live, work, or travel?

- Urban or rural?
- Near offices, colleges, factories, hospitals, or residential areas?
- How far are they willing to travel?

Many businesses fail simply because they assume customers will travel farther than they actually want to. Convenience often matters more than price.

c) Psychographic Profile

This answers *why* customers behave the way they do:

- Lifestyle (busy, relaxed, traditional, modern)

- Values (health-conscious, price-sensitive, status-oriented)
- Attitudes (risk-taking, conservative, brand-loyal)

Two people with the same income may make completely different choices because of lifestyle and mindset.

d) Behavioural Profile

This focuses on actual actions:

- How often do they buy?
- When do they buy (time of day, season)?
- What triggers a purchase?
- How loyal are they?

Understanding behaviour helps you predict demand and design better offerings.

3. Customer vs User vs Influencer

It is important to distinguish between:

- **Customer** – the person who pays
- **User** – the person who consumes
- **Influencer** – the person who influences the decision

For example:

- In a family, parents may pay, children may consume, and elders may influence decisions.
- In an office, management may pay, employees may use, and procurement teams may influence.

Ignoring influencers can lead to poor sales, even if the user loves your product.

4. The Problem Your Customer Is Trying to Solve

Customers do not buy products; they buy **solutions to problems**.

Ask:

- What inconvenience does my customer face?
- What frustration am I reducing?
- What desire am I fulfilling?
- What fear or risk am I removing?

For example:

- A coffee buyer may not be buying coffee; they may be buying alertness, comfort, routine, or a short break.
- A customer buying organic food may be buying peace of mind more than nutrition.

When you define your customer by their *problem*, your business becomes clearer and more resilient.

5. Creating a Customer Persona

A customer persona is a fictional but realistic representation of your ideal customer.

Example:

"Ramesh is a 34-year-old IT professional, married, lives within 5 km of his office, works long hours, values convenience and health, and prefers predictable quality over experimentation."

A good persona includes:

- Daily routine
- Pain points
- Spending habits
- Decision triggers
- Expectations from service

This persona becomes a decision-making tool. If a new idea does not make sense for Ramesh, it may not be worth pursuing.

If your customer is another business, the elements in the profile will have details of the corporate entity (Listed company, unlisted Company, LLP, Proprietorship), Revenue, Size of

Balance sheet, Nature of business, track record, profile of shareholders, CEO and Senior management etc.

A B2B customer is defined by not only by the nature of the company, ownership, company culture, but, also by the key decision makers' personal choice, which makes it a little bit more difficult to guess.

Understanding the internal processes (Technical qualification systems, Procurement systems) of the customer is extremely important.

Feedback from the market in terms of customer's payment process, timely payment etc plays an important role in your decision to deal with a customer.

6. How Do I Find My Customer?

Once you know who your customer is, the next challenge is locating and validating them.

a) Observe Real Life

The simplest and most powerful tool is observation.

- Watch where people queue up
- Notice peak hours
- See what customers complain about
- Observe what they compromise on and what they don't

Markets, streets, shops, and offices reveal more truth than reports.

b) Talk to Potential Customers

Short, informal conversations are extremely valuable.

- Ask what they currently use
- Ask what they like and dislike
- Ask what they would improve if they could

Listen more than you speak. Customers often reveal insights unintentionally.

c) Study Existing Alternatives

Your customer is already solving the problem somehow.

- Competitors
- Substitutes
- Informal solutions

Understanding why customers tolerate poor solutions helps you design better ones.

d) Use Small Experiments

Instead of guessing:

- Run a pilot
- Offer a limited version
- Test pricing
- Observe response

Real behaviour is more reliable than stated preference.

7. Where Do Customers "Live" Mentally?

Finding customers is not only about physical location but also mental space.

- Are they price-driven or value-driven?
- Are they habitual or experimental?
- Do they trust brands or individuals?

Marketing messages, pricing, and service style must match this mental model.

8. Common Mistakes in Defining Customers

Some frequent errors include:

- Assuming personal preference equals market demand
- Overestimating willingness to pay
- Ignoring convenience and habit
- Targeting too broad a segment
- Designing for an "ideal" customer who does not exist

Clarity beats ambition at the early stage.

9. Customers Change Over Time

Customers evolve due to:

- Income changes
- Lifestyle changes
- Technology adoption
- Competition
- Social influence

A good business continuously listens, observes, and adapts. The original customer definition should be reviewed periodically.

Finding your customer is not a one-time exercise. It is an ongoing conversation between your business and the market.

A business that asks, *"Who is my customer today, and what is he really trying to achieve?"* stays relevant. One that assumes it already knows the answer slowly drifts into irrelevance.

UNDERSTANDING CUSTOMER BEHAVIOUR

Customer behaviour explains how and why people make buying decisions. It includes what customers buy, when they buy, how often they buy, how much they spend, and what influences these choices. For a business owner, understanding customer behaviour is not an academic exercise—it is a practical tool for designing products, pricing, promotions, and experiences that customers actually respond to.

Businesses that align themselves with customer behaviour grow naturally. Those that fight against it struggle, regardless of how good their product may be.

1. What Is Customer Behaviour?

Customer behaviour refers to the patterns of actions and decisions that customers follow while:

- Recognising a need
- Searching for options
- Evaluating alternatives
- Making a purchase
- Using the product or service
- Deciding whether to repeat the purchase

This behaviour is shaped by personal habits, social influence, convenience, emotions, and past experiences.

2. Customers Are Not Always Rational

A common assumption is that customers make logical, well-calculated decisions. In reality, most decisions are:

- Habit-driven
- Emotion-influenced
- Time-constrained
- Based on shortcuts rather than detailed analysis

Customers often justify emotionally driven decisions with logic after the purchase. Understanding this helps businesses focus not only on features and price, but also on trust, comfort, and familiarity.

3. Factors Influencing Customer Behaviour

Customer behaviour is influenced by a combination of internal and external factors.

a) Personal Factors

These include:

- Age and life stage

- Income and occupation
- Education
- Health and physical condition
- Daily routine

For example, a young professional with limited time values speed and convenience, while a retired person may value personal interaction and price stability.

b) Psychological Factors

These are internal drivers:

- Motivation (hunger, safety, comfort, status)
- Perception (how customers interpret information)
- Learning (past experiences)
- Beliefs and attitudes

Two customers may receive the same message but interpret it very differently based on past experiences and beliefs.

c) Social Factors

Human beings are social by nature. Behaviour is influenced by:

- Family
- Friends
- Colleagues
- Social norms
- Cultural expectations

Word-of-mouth often matters more than advertising, especially in close-knit communities.

d) Economic Factors

Spending behaviour is affected by:

- Income stability

- Inflation
- Price sensitivity
- Availability of substitutes

During economic uncertainty, customers may shift from premium choices to value-oriented ones without reducing consumption altogether.

4. The Customer Decision-Making Process

Most purchase decisions follow a basic pattern:

a) **Need Recognition:** The customer realises a gap between their current state and desired state.
b) **Information Search:** They look for options—through memory, recommendations, or observation.
c) **Evaluation of Alternatives:** Options are compared on price, quality, convenience, and trust.
d) **Purchase Decision:** The final choice is often influenced by small triggers like discounts, timing, or mood.
e) **Post-Purchase Behaviour:** Satisfaction or dissatisfaction determines repeat purchase and referrals.

A business must perform well at every stage, not just at the point of sale.

5. Habit and Routine: The Silent Drivers

Many purchases happen not because of active decisions, but because of habit.

- Same shop
- Same brand
- Same time
- Same quantity

Breaking customer habits is difficult. Winning customers often means:

- Being present at the right place and time
- Offering consistency
- Reducing effort required to choose you

Once a habit forms, customer loyalty becomes natural.

6. Price Behaviour and Perceived Value

Customers respond more to perceived value than to absolute price.

- A higher price may signal better quality
- A lower price may signal compromise or risk

Small differences in price matter less than differences in experience, trust, and reliability. Customers are willing to pay more when uncertainty is reduced.

7. Convenience as a Behavioural Trigger

Convenience strongly shapes behaviour:

- Proximity
- Speed of service
- Ease of payment
- Predictability

Customers often choose "good enough and convenient" over "best but inconvenient." Designing for ease often delivers higher returns than adding features.

8. Emotional Drivers of Behaviour

Emotions play a key role in decisions:

- Comfort
- Belonging
- Pride
- Nostalgia
- Fear of missing out

Brands that connect emotionally enjoy stronger loyalty. Customers remember how a business made them feel long after they forget the transaction details.

9. Customer Behaviour Is Context-Dependent

The same customer behaves differently based on:

- Time of day
- Day of the week
- Social setting
- Urgency

For example:

- Morning behaviour is different from evening behaviour
- Weekday needs differ from weekend needs

Understanding context helps businesses tailor offerings without changing the core product.

10. Measuring and Observing Customer Behaviour

Customer behaviour can be understood through:

- Direct observation
- Informal conversations
- Sales data patterns
- Repeat purchase rates
- Feedback and complaints

Often, what customers do reveals more than what they say.

11. Common Mistakes in Interpreting Customer Behaviour

Some frequent errors include:

- Assuming stated preferences equal actual behaviour
- Overvaluing one-time feedback
- Ignoring silent customers

- Reacting too quickly to short-term changes

Behaviour should be observed over time to identify real patterns.

12. Adapting to Changing Behaviour

Customer behaviour evolves due to:

- Technology adoption
- Lifestyle changes
- Social influence
- Economic conditions

Successful businesses stay alert and flexible, adjusting processes and communication without losing their core identity.

Customer behaviour is the invisible force shaping every business outcome. Products, prices, and promotions succeed only when they align with how customers naturally think, feel, and act.

Businesses that respect customer behaviour work *with the market*. Those that ignore it work *against it*—and the market always wins.

In the end, success does not come from selling more products—but from understanding people better.

LIVING THE CUSTOMER TO UNDERSTAND HIM

Understanding customers does not come from reports alone. It comes from living their life, even if briefly. The deepest insights about customers emerge not from surveys or spreadsheets, but from experience—by walking in their shoes, sharing their constraints, and feeling their frustrations.

To truly understand a customer, one must go beyond studying behaviour and begin living the customer.

1. Why Observation Is Not Enough

Many businesses observe customers from a distance:

- Sales numbers
- Feedback forms
- Complaints
- Market research reports

While useful, these tools show *what* customers do, not *how it feels* to be a customer. Distance creates blind spots. Empathy removes them.

Living the customer means experiencing the product, service, or problem exactly as the customer does—without special treatment, explanations, or shortcuts.

2. What Does "Living the Customer" Mean?

Living the customer means:

- Using your own product as a regular customer would
- Going through the same waiting times, confusion, and inconvenience
- Facing the same trade-offs your customer faces daily
- Making decisions under the same time, money, and emotional pressure

It requires humility—the willingness to accept discomfort and learn from it.

3. Stepping Into the Customer's Daily Life

Customers do not interact with your business in isolation. They come to you carrying:

- Fatigue

- Time pressure
- Family obligations
- Financial constraints
- Emotional states

To understand them:

- Travel the route they take
- Visit at peak hours
- Stand in queues
- Use the same communication channels

Small irritations that seem trivial from inside the business can feel overwhelming from the customer's side.

4. Experiencing the Friction Points

Every customer journey has friction:

- Unclear signage
- Slow responses
- Complex processes
- Unpredictable outcomes

Living the customer exposes these friction points immediately. What appears "manageable" internally may be deeply frustrating externally.

Many powerful improvements are born not from innovation, but from **removing small pain points**.

5. Understanding Emotional Context

Customers are emotional beings. They may be:

- Anxious
- Hungry
- Tired
- Distracted
- Hopeful

These emotions shape their experience more than product specifications. Living the customer helps businesses understand emotional context—what reassures customers, what annoys them, and what builds trust.

6. Learning from Constraints, Not Preferences

Customers often say what they *want*, but behave according to what they *can* do.

- Limited time
- Limited money
- Limited options

By living the customer's constraints, businesses learn what truly matters. This prevents over-engineering and helps focus on what customers will realistically adopt.

7. The Power of First-Hand Discomfort

Discomfort is a teacher.

- Standing in your own queue
- Navigating your own app
- Calling your own customer support

These experiences create urgency for improvement that no report can generate. When leaders feel the pain personally, solutions move faster.

8. Living the Customer Across Segments

Different customers live different realities.

- A weekday customer behaves differently from a weekend customer
- A first-time customer feels differently from a repeat one
- A price-sensitive customer experiences risk differently from a premium buyer

Living the customer requires experiencing **each important segment**, not just the ideal one.

9. When Assumptions Collapse

One of the biggest benefits of living the customer is the collapse of assumptions:

- "This is obvious"
- "This is simple"
- "Customers won't mind"

These assumptions often exist because decision-makers are far removed from customer reality. Living the customer replaces assumption with understanding.

10. Turning Empathy Into Action

Living the customer is not an end in itself. Insights must lead to:

- Simplification
- Better communication
- Faster response
- Improved consistency

Empathy without action becomes sentiment. Empathy with action becomes competitive advantage.

11. Making It a Habit, Not an Event

Living the customer should not be a one-time exercise or a symbolic gesture. It should be:

- Built into leadership routines
- Repeated periodically
- Shared across teams

Markets change, customers evolve, and yesterday's understanding becomes outdated.

12. Cultural Impact Inside the Organization

When teams are encouraged to live the customer:

- Blame reduces
- Collaboration improves
- Decision-making becomes grounded
- Customer respect increases

Organizations shift from being product-centric to customer-centric in practice, not just language.

Customers rarely ask businesses to be extraordinary. They ask them to be understanding, reliable, and respectful of their reality.

The best way to understand that reality is not to study it from afar—but to step into it. A business that lives its customer does not need to guess what customers want. It already knows